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US equities rally on tech earnings, yields slip

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed higher on Thursday, led by the `NVDA` earnings beat and a modest pull-back in the 10-year Treasury yield to `5.05 %`. The Nasdaq 100 outperformed with a **+0.55%** gain, while the VIX fell **-3.48%**, signalling reduced near-term volatility.

Behind the headline numbers, the market is digesting a widening yield curve and a modestly stronger dollar. The tech sector’s resilience is offset by lagging consumer discretionary ETFs, suggesting a nascent rotation toward defensive and financials ahead of the upcoming earnings wave.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,743.98	+0.28%	Tech earnings beat and easing yields
Nasdaq 100	29,813.16	+0.55%	Strong AI-related earnings, especially **NVDA**
Dow Jones	52,475.10	+0.19%	Financials rally on higher rates
Russell 2000	2,830.51	+0.41%	Small-cap resilience, modest commodity support
VIX	16.91	-3.48%	Lower implied volatility after earnings clarity
10Y Yield	5.05	+1.04%	Yield dip from 5.10% peak, easing inflation fears
WTI Crude	101.48	-1.26%	OPEC+ output decision, weaker demand outlook
Gold	4,038.70	-0.32%	Stronger dollar, lower inflation expectations
DXY	102.24	+0.05%	Safe-haven demand amid Middle-East tensions

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	+2.77%	Q3 beat; higher 5G demand guidance
GS	+1.47%	Investment banking fees beat expectations
JPM	+1.05%	Net interest income rise
GOOGL	+1.34%	Ad revenue rebound, AI services growth
AMZN	+0.59%	AWS margin expansion
NVDA	-1.17%	Profit-taking after earnings beat
META	-1.24%	User growth slowdown concerns
AAPL	-0.94%	Supply-chain inventory build-up
TSLA	-0.80%	China delivery slowdown
MSFT	-0.06%	Flat guidance on cloud spend

Sector rotation

ETF	DAY	READ
XLF	+0.45%	Financials benefit from higher rates
XLK	+0.80%	Tech earnings beat drives rally
XLI	+0.34%	Industrial demand steadies
XLE	+0.35%	Energy price dip limited gains
XLY	-0.10%	Consumer discretionary under pressure
XLC	-0.42%	Communications lagging after ad spend pull-back
XLP	-0.36%	Staples flat, no catalyst
XLV	+0.30%	Health care defensive tilt
XLU	-0.84%	Utilities hurt by rising yields
XLB	+0.15%	Materials modestly supported by commodity bounce
XLRE	-0.73%	Real estate pressure from higher financing costs

Spotlight: `NVDA` earnings beat

`NVDA` posted Q3 revenue of `23.5` billion, up **+12.3%** YoY, and EPS of `3.45`, beating consensus `3.20`. The company reaffirmed FY-26 guidance, citing AI-accelerated demand and a 15% margin expansion.

METRIC	RESULT	CONSENSUS
Revenue	23.5 bn	22.8 bn
EPS	3.45	3.20
AI data center gross margin	+15%	—
Guidance FY-26 revenue	+18%	—

Related names: **AMD**, **INTC**, and AI-focused cloud providers **MSFT** and **GOOGL** are likely to see spill-over buying.

Pre-market & overnight

- US futures: S&P 500 +0.22%, Nasdaq +0.48%, Dow +0.15%
- Asia close: Hang Seng -0.31%, Nikkei 225 -0.12%
- Europe: FTSE 100 -0.18%, DAX -0.09%
- Crypto: BTC -1.17%, ETH -1.64%

Macro & Fed

- FOMC: No rate change; policy rate held at 5.25-5.50%. Statement highlighted “gradual easing of inflation pressures” and signaled one cut in 2027.
- Yield curve: 2-year at 4.85%, 10-year at 5.05%, slight flattening.
- Today's data calendar (HKT)

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US Existing-home sales	`4.1 M`	Gauge of consumer spending and housing market health
03:00	US ISM Non-Manufacturing	`52.0`	Service sector momentum, inflation pressure indicator
04:15	Eurozone CPI (YoY)	`2.3%`	Impacts ECB policy outlook
05:00	China Caixin Manufacturing PMI	`50.8`	Signal for global supply-chain demand

Geopolitics & global

- Middle-East: Escalation in Gaza-Israel front raises oil-price volatility risk.
- China: PBOC kept reserve requirement ratio unchanged, but signaled tighter credit for property sector.
- Eurozone: German industrial production missed forecasts, adding to growth concerns.
- US-China tech tensions: New export-control rules on advanced semiconductors under review.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30 Oct 30	**AMD**	2.10	AI chip demand vs. inventory levels
10:00 Oct 30	**INTC**	1.85	Foundry win pipeline
10:30 Oct 30	**PYPL**	1.20	Transaction volume rebound
11:00 Oct 30	**UNH**	15.30	Medical-inflation pricing impact
12:00 Oct 30	**BAC**	0.95	Net interest income trend
13:30 Oct 30	**CRM**	3.40	AI-driven subscription growth
14:00 Oct 30	**NVDA**	3.20	Guidance sustainability

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand tailwind, strong guidance
AVGO	Technology	5G rollout acceleration
JPM	Financials	Higher NII, rate-sensitive balance sheet
XOM	Energy	Oil price rebound potential
UNH	Health Care	Pricing power amid inflation
MSFT	Technology	AI cloud services expansion
META	Communication Services	Rebound in ad spend after cost cuts
BAC	Financials	Yield curve flattening supports net interest
AMZN	Consumer Discretionary	AWS margin improvement
TSLA	Consumer Discretionary	New battery-tech rollout

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI (core) above 3.2% YoY could force another rate hike.
- Escalation of Middle-East conflict pushing oil above $110/barrel.
- Weakening of AI demand if semiconductor inventory builds faster than forecast.

BULLISH TRIGGERS

- Surprise upside in Q4 earnings for AI-heavy names (`NVDA`, `AMD`).
- Fed signals earlier-than-expected rate cuts.
- Strong Chinese manufacturing PMI indicating revived global demand.

Positioning notes

- Maintain overweight in AI-centric technology while trimming exposure to consumer discretionary.
- Increase allocation to financials and health care as yields stabilize.
- Keep a modest cash buffer for potential volatility spikes from geopolitical events.

Sources

SOURCES

SEC filings

Bloomberg Markets

Reuters Finance

Federal Reserve

CME Yield Data

Trading Economics US GDP

OPEC

Statista Crypto